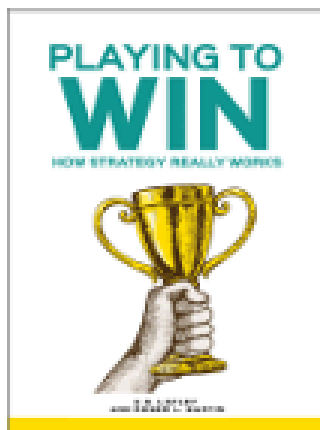




PLAYING TO WIN

How Strategy Really Works

A.G. LAFLEY AND ROGER L. MARTIN



The Big “So What”

Any organization without a sound strategy is bound to fail. Yet, most leaders don't truly understand strategy nor how to apply it. [This book demystifies strategy and equips you with concepts, frameworks, tools and processes to help your organization to win.](#)



Introduction: What is Strategy?

The strategy framework in this book was jointly developed by the authors, who were previously the CEO of Procter & Gamble (P&G) and the dean of the Rotman School of Management respectively. When Lafley became P&G's CEO in 2000, he used this framework to revitalize the company and it has now become a standard process at P&G. This approach to strategy can be applied to any business, function, or organization.



There are several common misconceptions about strategy:

- It's untrue that strategy has become irrelevant with today's fast changing environment. Although there's no perfect strategy, a sound strategy can offer competitive advantage while a lack of strategy can kill any organization.
- Strategy is *not* the same as vision, mission, plans, tactics or optimizing processes—these are merely elements of strategy.
- Strategy is also *not* about adopting best practices. Benchmarking against competitors only makes you a copycat.

KEY QUOTES

“Our intent is to provide you with a do-it-yourself guide to strategy...a strategy that serves your customers better and enables you to compete more successfully and to win.”

“Not only is strategy possible in times of tumultuous change, but it can be a competitive advantage and a source of significant value creation.”



Fundamentally, strategy is about making specific, integrated choices to win in the marketplace.

- A good strategy starts with a deliberate intention to win, rather than just to survive or participate in the marketplace.
- Specifically, it involves 5 sets of inter-connected choices, which can be combined with other tools to form a single framework, process or strategy playbook.

In this summary, we'll elaborate on each of the 5 strategic choices, before integrating these ideas with application concepts into a strategy playbook.



Strategy: An Integrated Cascade of Choices



Basically, your strategy is your set of answers to these 5 questions:

- What is your winning aspiration? This is the reason you exist and the guiding purpose behind *all* your decisions.
- Where will you play? This is the playing field where you can achieve your aspiration, such as your geography, product category, consumer segments, channels etc.
- How will you win? This involves the strengths, model and value proposition that will jointly give you the competitive advantage needed to win in your chosen playing field.
- What capabilities must be in place? These are the set of core capabilities and reinforcing activities you'd need for your choices.
- What management systems are required? These are the systems, structures and measures needed to enable your core capabilities and support your choices.



These choices affect what you do and don't do. They're closely interrelated: the choices at the top cascade downward, and the choices at the bottom refine and reinforce the choices

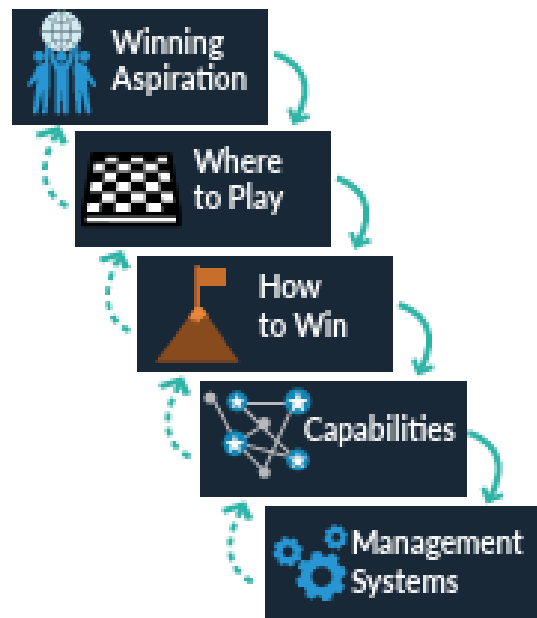
KEY QUOTES

"What matters is winning. Great organizations...choose to win rather than simply play."

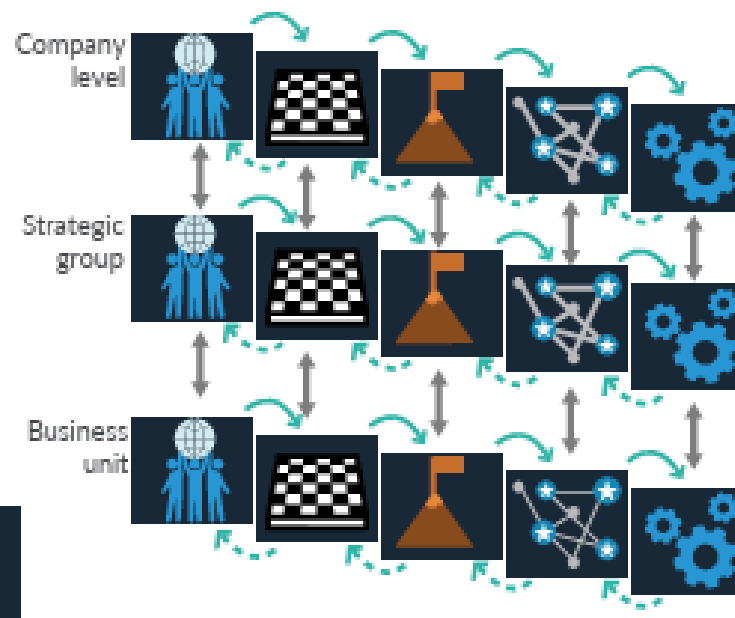
"A strategy is a coordinated and integrated set of where-to-play, how-to-win, core capability, and management system choices that uniquely meet a consumer's needs, thereby creating competitive advantage and superior value for a business. Strategy is a way to win—and nothing less."

above. In small companies, there may be only 1 choice-cascade, while in large organizations there may be sub-levels of choices.

Strategic Choice Cascade



Multi-level Choice Cascades



KEY QUOTES

"A definition of winning provides a context for the rest of the strategic choices; in all cases, choices should fit within and support the firm's aspirations."

"A lofty mission isn't a strategy. It is merely a starting point."

"Strategy is disciplined thinking that requires tough choices and is all about winning."

"A too-modest aspiration is far more dangerous than a too lofty one. Too many companies eventually die a death of modest aspirations."

Winning Aspiration



Your aspiration states why you exist, what you seek to be, and what winning looks like for your organization. It's the starting point to align the rest of your strategic choices.



Your aspiration must focus on winning, not just competing.

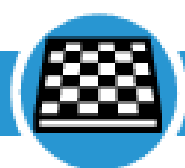
- This forces you to make hard decisions that create real advantages. Nike's mission is "to bring inspiration and innovation to every athlete in the world" (where an athlete is anyone with a body) and McDonalds seeks to "be our customers' favorite place and way to eat." P&G aims to deliver the most valuable, value-creating brands that improve consumers' lives in every category it competes in.
- You can break it down further into what winning means for specific brands, business lines or internal functions.
- When you merely "play to play", you're setting yourself up to fail. In 1990, General Motors launched Saturn in hope of getting a share of the younger car-buyer market and making money in that segment. Unlike their key competitors Toyota, Honda, and Nissan, Saturn didn't aim to win, and eventually closed down after \$20bil losses.

- Playing to win. In 2000, P&G had to decide what to do with its inhouse global business services (GBS) unit that handled its IT facilities and services. The easiest option would be to keep running GBS internally, while the most common option would be to outsource to a large BPO firm like IBM. P&G asked themselves which option would help them to win. They realized they needed cost-effectiveness, service standards *and* flexibility, i.e. partners who would innovate with P&G to create real value. So, they came up with a new approach, to (a) select the best BPO partners for each IT area (e.g. facilities management vs IT infrastructure), and (b) choose partners with interdependency (vs going with the biggest ones). This allowed them to work with a range of specialized partners (thus increase quality, reduce cost, mitigate risk *and* instill competition), while freeing up existing GBS resources for P&G's core capabilities.

 When defining your aspirations, focus on consumers and your best competitors.

- Consumers, not products/services. A product-focused business may see itself as a maker of smartphones and focus on R&D and engineering. A consumer-focused business may see itself as a connector of people around the world, and focus on relationship-building, user experience etc.
- Best competitors, not just obvious ones. Identify your best competitors, how they're doing better than you, what can you learn from them and do differently. Consider what it means to win against the largest global brands, as well as the local and private-label companies.

Where to Play



Choosing the right playing field is really about defining the business you're in, where you'll compete to win, and where you'll *not* compete.

 Regardless of the size or nature of your industry, you must address all of these where-to-play choices:

- Geography: The countries or regions you'll compete in;
- Product segment: The types of products/services you'll offer;

KEY QUOTES

"The desire to win spurs a helpfully competitive mind-set, a desire to do better whenever possible."

"Companies in the grips of marketing myopia are blinded by the products they make and are unable to see the larger purpose or true market dynamics."

"Looking at the best competitor, no matter which company it might be, provides helpful insights into the multiple ways to win."

"If everything is a priority, nothing is."

- Consumer segment: The groups of consumers you'll target (with the associated price tiers and needs);
- Distribution channel: The channels you'll use to reach your consumers; and
- Stage of production: The parts of the vertical production or value chain you'll enter.



Choose where to play and where not to play. You can go for a narrow or broad choice depending on what's ideal for your organization, but you *must* choose. If you try to play in every field concurrently, you'll stretch your resources too thin and end up under-performing in all sectors.



To find a brand new playing field or change an existing playing field, you must first believe it's possible. Then, dig deep to examine your choices from all possible angles.

- P&G always starts by understanding the customer, using in-depth research (from observations to home visits) to identify who the customers really are, what they want and need. The goal is to uncover issues you can solve, which leads to big ideas that define your where-to-play choices.
- Such changes to existing playing fields may be subtle (like how Olay was reinvented with a new target consumer group within the same industry), or massive (like how Thomson Corporation changed its entire business model to web-based services over a period of 20 years).
- Wherever possible, avoid going directly against strong competitors or fighting multiple battles. Try to stagger your choices so you can conquer the market one challenge at a time. If you're entering a competitive industry, consider whether to eliminate the weaker players first, target the lead competitor or expand the playing field so you buy time to coexist with existing players while you gain momentum.
- Look for ways to attack from unexpected angles with the least resistance. P&G initially struggled tried to find a viable playing field in the fine-fragrances category. After digging deep, they chose to go into men's fragrances (e.g.

KEY QUOTES

"Focus is a crucial winning attribute. Attempting to be all things to all customers tends to result in underserving everyone."

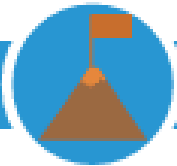
"Sometimes the key to finding a new place to play is to simply believe that one is possible."

Hugo Boss, Lacoste), which was an unexpected space with minimal resistance from existing competitors who typically focused on fashion and the high-end women's market.



Don't try to buy your way out of a bad game, i.e. try to acquire a company to solve your problems. Acquisitions are usually expensive, and the acquired companies tend to have different strategies and capabilities that complicate your already-fragmented strategy. It's better to sort out your own game by enforcing internal discipline in your strategic thinking.

How to Win



Once you've chosen where to play, you can define how to win there.



Broadly, there are 2 key ways to win, but the exact details will vary for each organization.

- Low-cost strategies means having a lower cost structure than competitors, so you can set lower prices and/or reinvest the margin in other areas to create competitive advantages. For example, Mars enjoys lower production costs than Hershey's. But, instead of reducing its price, it invests the extra margin to buy the best shelf-spaces in convenience stores. In any industry, there can only be one true low-cost leader. To win with this strategy, you must be the player with the lowest cost.
- Differentiation means your offerings have similar cost structures as competitors, but deliver a much higher perceived value to customers. Each brand or offering will have its own consumer value equation and price-point, e.g. some consumers may prefer the quality service of global hotel chains while others prefer the unique experience of boutique hotels. To win with this strategy, you must do everything possible to keep customers happy.
- It's possible to combine both strategies, i.e. command a huge price premium yet produce at much lower costs than rivals. However, it's very rare as the 2 strategies require vastly different approaches. A cost leader is obsessed with cost reduction via cost drivers (e.g. sourcing, production) and may sacrifice nonconforming customers for standardization.

KEY QUOTES

"While all companies make efforts to control costs, there is only one low-cost player in any industry—the competitor with the very lowest costs."

A differentiator is obsessed with serving customers better, retaining loyalty and commanding a price premium (via brand, quality, service etc.).



Find your winning formula. There are many ways to win, and your strategy must evolve over time. Building your organization's strategic thinking capabilities allows you to keep finding new ways to win.

- Your where-to-play and how-to-win choices are closely-related and must reinforce one another. If, after digging deep, you still can't create credible how-to-win choices, then find a new playing field where you can win.
- In the 1960s, P&G launched Pampers, pioneering the disposable diapers category and viably addressing cloth diaper-users' frustrations. By the 1970s, Pampers had 75% market share in the US and was growing globally. However, in 1976, P&G made a strategic mistake when it introduced Luvs—a new, pricier brand of diapers with superior fit, absorbency and comfort. In 1978, Kimberly-Clark launched Huggies with similar features to Luv (plus enhancements). It gained a 30% market share while Luvs and Pampers fell behind individually since their market share was split amongst themselves. In 1984, P&G finally launched Ultra Pampers with premium features, and repositioned Luv to a basic offering. They learned the painful lesson that they should've applied Luv's improvements to Pampers from the onset rather than lose customers for product-based reasons.
- Separately, P&G launched Citrus Hill (a juice that was enhanced using superior calcium technology) in direct competition with incumbents Minute Maid and Tropicana. Citrus Hill lost the battle, and, P&G sold the calcium technology to its 2 rivals. Technology alone just wasn't enough to win against strong established players.
- P&G also developed a technology that made trash bags stronger/stretchable using less material, and improved the effectiveness of self-sealing plastic wraps for food storage. This time, instead of competing directly with strong incumbents in an unfamiliar industry, P&G explored other choices. They decided on a joint venture (JV) with The Clorox Company, a leader in the food-storage business. P&G

KEY QUOTES

"There simply is no one perfect strategy that will last for all time. There are multiple ways to win in any almost any industry. That's why building up strategic thinking capability within your organization is so vital."

"Technology and product alone wouldn't lead to victory—not in the face of tough competitive dynamics and high capital costs."

"The challenge was to find a way to win, rather than just compete...Finding the answer meant taking a new and creative approach to what winning could mean and how P&G could win in a different way."

assigned 20 P&G staff (mainly scientists/technologists) to Clorox, gave them technology access and full control of the business, in return for 10% of their Glad business and an option to acquire another 10%. In short, they partnered closely with Clorox in 1 category while competing in other categories. This model gave P&G a new way to win and led to other similar joint ventures in the future.

Capabilities: Play to your Strengths



Your *core capabilities* are the entire set of activities that jointly allow you to realize your where-to-play and how-to-win choices. An *activity system* (coined by Michael Porter) is a 1-page visual representation of these capabilities—it helps you to visualize your core capabilities and supporting activities, so you can decide where to increase and reduce investments.



In 2000, P&G had defined its where-to-play and how-to-win choices, and had to translate the choices into core capabilities.

- At an off-site meeting, business and functional leaders started by identifying their business units' industry-specific capabilities.
- Then, everyone was asked to vote for top capabilities that met these criteria: they must be (a) existing competitive advantages that could be expanded, (b) were relevant and vital to most of P&G's businesses, and (c) could make the decisive difference between winning and losing. They eventually narrowed down to 5 core corporate-level capabilities: (a) consumer understanding, (b) brand building, (c) innovation, (d) go-to-market ability and (e) global scale.
- From this list, the teams developed specific action plans to invest in each of the 5 capabilities at the corporate, category, and brand levels. These were then mapped into activity systems that would guide P&G's strategic choices for the next decade.



To win, your activity system must meet the 3 sequential criteria below. Refine your system over several rounds, changing your where-to-play and how-to-win choices if necessary.

KEY QUOTES

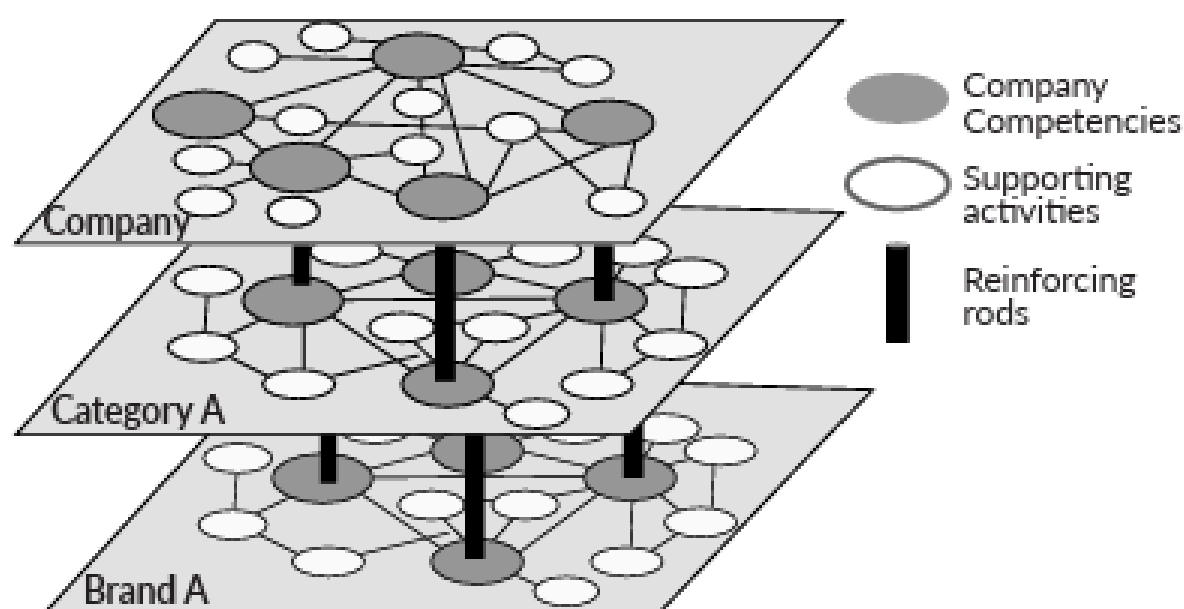
"An organization's core capabilities are those activities that, when performed at the highest level, enable the organization to bring its where-to-play and how-to-win choices to life."

"Companies can be good at a lot of things. But there are a smaller number of activities that together create distinctiveness, underpinning specific where-to-play and how-to-win choices."

- Feasibility: The activity system must be feasible to build. If most of the components don't exist yet and you lack resources to create them, rethink where to play and how to win.
- Distinctiveness: Your combination of capabilities must be unique enough that no other competitor will likely end up with a similar map.
- Defensibility: Your activity system must not be easily replicated by a competitor.



A small business may have 1 activity system for the whole company, while a large corporation like P&G will have different activity systems for each business unit, e.g. different choices and capabilities for baby care vs laundry care. Reinforcing rods are the shared capabilities that cut across multiple divisions or units, and link parts of the organization together. When you strengthen these rods, it creates multiplier effects across the entire organization.



To improve your organizational integration:

- Start at the "indivisible level", where the activity system looks similar 1 level down but looks different 1 level up. For example, at the product level various Head & Shoulders shampoos have similar maps, but at the category level varying hair-care products (e.g. Nice 'n Easy hair colors vs Herbal Essences hair gels) have different maps. Start at the ground level and work upwards.

KEY QUOTES

"The links between the systems are crucial to create brand, category, sector, function, and overall company competitive advantage—to make the system stronger than the sum of its parts."

- Add value to the level below. Managers at each level should focus on the reinforcing rods that help the level below to compete more effectively, either through a shared activity and/or skills and knowledge transfer. Unless a level creates more value than its financial and administrative costs, it should be removed.
- Expand or trim your portfolio. Look at the reinforcing rods throughout your organization—invest in businesses that benefit from same rods, and divest those that don't.



Most corporate mergers destroy rather than create value. Yet, P&G's acquisition of Gillette in 2005 was a massive success, because it satisfied P&G's 3 criteria for mergers: growth, structural attractiveness and strategic fit (in all 5 levels of the choice cascade). Specifically, Gillette's aspiration was aligned with P&G's, it could benefit significantly from all of P&G's core capabilities, and could also reinforce P&G's strengths.

- Straight after the acquisition, the 2 teams jointly defined Gillette's strategic choices: (a) win in male shaving systems, (b) extend the Gillette brand to men's personal-care items, (c) win in women's hair removal and (d) expand into emerging markets, especially India.
- To achieve these, Gillette needed certain capabilities. For example, it had to learn to meet the needs of consumers in the developing world. Instead of its usual quantitative research; the Gillette team followed the P&G approach and sent its scientists to live in India for 2 weeks. They were surprised to learn that most Indian men shaved with only a small cup of cold water instead of running hot water. This led to the creation of the Gillette Guard razor—with a single-blade, safety comb, and a price-point of one-tenth of US prices.

Management Systems



Having a sound strategy isn't enough. To win, your organization needs supporting management systems and structures to cultivate its capabilities, as well as measures that tell you how well you're delivering on your strategic choices.

KEY QUOTES

"Most corporate mergers fail to create value. The bigger the deal, the less likely it seems to produce success."

"By engaging directly with the...consumer, by treating that consumer as the boss, the Gillette team was able to understand what he values and what he experiences."



Create regular strategy creation and review sessions where leaders come together to discuss vital issues e.g. whether you're winning in a category, what are the biggest opportunities or threats facing each business and what core capabilities must be built. This creates a systematic focus on strategy and helps leaders at all levels to hone their strategic-thinking abilities and decision-making abilities.



For real dialogues to happen, people must be open-minded, willing to listen and engage in constructive debate. You can use this 3 part approach to nurture assertive inquiry, i.e. advocating your views while asking with an open mind for others' views:

- Present your view and invite a response, e.g. "This is how I see the situation and why. But I may be missing something—do you see it differently?"
- Paraphrase what you understand of the other person's view, e.g. "It sounds like your view is this...is that an accurate summary?"
- Explain and clarify gaps if any, e.g. "It sounds like you think we shouldn't take up this project. I'm not sure I understand why; could you tell me more?"



Communicate your strategy clearly to all levels in the organization, by focusing on the most critical choices and presenting them in a clear, simple way that everyone can understand. P&G distilled its strategy into 3 core themes that cut across all its businesses: (a) make the consumer the boss, (b) increase the gap between value delivery and the cost of delivering that value, and (c) win the 2 crucial moments when the client first encounters the product in the store, and when he/she first uses it.



To facilitate discussions, P&G also summarizes its choice cascades into a 1-page "OGSM" documents which capture the objectives, goals, strategies and measures of a brand/category company at a glance.

Objectives	Strategy	Measures
	Where to play :	
Goals	How to Win:	



Invest in systems to support your core capabilities. For example, P&G invested heavily in new consumer research methodologies to deepen their capability for consumer

KEY QUOTES

"(Help your) leaders to become better strategists because better, more choiceful strategies would enable yet better operations."

"Inquiry leads the other person to genuinely reflect and hear your advocacy rather than ignoring it and making their own advocacy in response."

"Strategy is formulated at all levels of the organization, and to be successful, it needs to be clearly communicated at all levels as well."

"The goal was to create... a simple, clear expression of a strategy, a living document that everyone in the business knew and understood."

understanding, and invested in strong retail partnerships to improve their go-to-market capabilities.

-  **Measure desired outcomes.** This not only offers *feedback* to address performance gaps, but also motivates people to *focus* on results. To be effective, your measures must specifically explain the expected outcomes, cut across various parameters (e.g. finance and consumers), and be written down. You can also create weighted indexes to measure your performance across multiple factors.



Getting Started: Your Strategy Playbook

In this section, we'll combine the **choice cascade** with **strategy logic flow** and **reverse engineering** to form a single framework or process— your **strategy playbook**. Start with a rough definition of your winning aspiration, but don't worry about perfecting it at this point. **Spend more effort on your where-to-play and how-to-win choices**: these form the heart of your strategy and define what you'll do and where/how you will win.

There are various strategy tools (e.g. SWOT or the BCG growth matrix) which you can use to do your analyses. The authors recommend using the strategy logic flow and reverse engineering to generate and select your where-to-play and how-to-win choices. The process takes time, effort and teamwork, but the results are worth it.

-  Think through your strategy with a **logical flow**, using 7 questions in 4 key areas to analyze your organization's current realities and generate possible where-to-play and how-to-win choices.

INDUSTRY ANALYSIS

- **Segmentation**: What are the strategic segments in the industry?
- **Structure**: How potentially profitable are these segments for your company? [Consider suppliers' & consumers' bargaining power, degree of rivalry, threat of new entrants & substitutes]

CONSUMER VALUE ANALYSIS

- **Channel**: What do channel customers (e.g. retailers) value?
- **End-consumer**: What do end-consumers value?

RELATIVE POSITION

- **Capabilities**: How are your capabilities compared to competitors?
- **Costs**: How are your cost compared to competitors?

COMPETITIVE ANALYSIS

- **Prediction**: How are competitors likely to react to your choices & actions?

KEY QUOTES

"If aspirations are to be achieved, capabilities developed, and management systems created, progress needs to be measured."

"The strategic choice cascade, the strategic logic flow, and the reverse-engineering process represent a strategic playbook for your organization...(that) can guide your strategic thinking and help create true and lasting competitive advantage."

"A strategy that only works if competitors continue to do exactly what they are already doing is a dangerous strategy indeed."



Once you have a list of possible choices, use the reverse engineering process to improve your odds of arriving at a winning set of choices.

Frame the choice	• Ask “what are the different ways of resolving this problem?” • Generate pairs of opposite options and narrow down to ≥ 2 mutually exclusive options.
Expand scenarios	• Brainstorm diverse possibilities, including unexpected ones. • Express them not as options, but as narratives or scenarios of happy outcomes.
Specify conditions	• For each case, specify what must be true for the possibility to be a winning choice. • These are the conditions the team must commit to deliver if they choose a certain path.
Identify barriers	• Identify the conditions that’re <i>least</i> likely to happen—these are your barriers to success. • Address all concerns, including the skeptics’
Design valid tests	• For each key barrier, design a valid test, e.g. surveying consumers or suppliers.
Conduct tests	• Run the tests to validate specific hypotheses. • Start with the conditions you’re least confident about, then move on to the next-most-dubious condition and so on.
Choose	• Compare the test results and make an informed decision with real market data.

An Ongoing Process



The pursuit of winning is a never-ending process. Develop your answers for the *5 levels of the choice cascade*, use the *strategy logic flow* to understand your present realities and identify where-to-play and how-to-win possibilities, and *reverse-engineer* these possibilities to identify what would’ve to be true for each possibility to be your best chance to win.



Other Details in the Book to Look out For

The book is packed with detailed case studies and tips, including:

- Examples involving brands like Gillette, Pampers, Olay, Tide, Impress, Swiffer, Febreze and Bounty; and
- Details of various strategy tools and models you can use for your strategic analysis, and additional appendices about P&G’s performance and the microeconomics of strategy.

We’ve distilled the key ideas and tips in this summary. For more details and examples, please visit playingtowin.net.

KEY QUOTES

“In strategy, there are no absolute answers or sure things, and nothing lasts forever...In the end, building a strategy isn’t about achieving perfection; it’s about shortening your odds.”

“Crystallizing the issue by clearly framing the choices for resolving it makes the issue immediately real and meaningful.”

“Leaders lead, and a good place to start leading is in strategy development for your business...Play to win.”